RESEARCH COMMENT · EUROPEAN DEFENCE

Rheinmetall: From Demand Story to Delivery Test

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Rheinmetall (RHM GY, not on our focus list) remains a structural winner of European rearmament, but the debate has moved from demand to delivery. Market capitalisation is down ~38% since end-2025 (€44.7bn vs €71.6bn) and the P/E has compressed from 70x to 28x 2026e. The stock no longer prices "unlimited demand"; it prices strong execution. Owning it therefore requires two convictions: that management converts a record €80.4bn backlog into cash on schedule, and that the war in Ukraine does not end in the near term. If either weakens, we expect the risk/reward to deteriorate quickly.

The second conviction is the less comfortable one. European defence budgets are structural and would survive a ceasefire, but the stock trades on urgency: mere peace headlines have repeatedly triggered –5% sessions. As Europe's largest land-systems and ammunition supplier—vehicles, weapons & ammunition, digital, air defence and, since 2026, naval—vertically integrated in 155mm ammunition and propellants, with ~60% of the backlog in Germany, Rheinmetall is the purest expression of that urgency.

A €80bn backlog that now has to convert

Chart 1 · Backlog – Conversion Task vs. Sales

EUR bn · FY26 guidance and year-end backlog target as ranges · backlog as of 30 June 2026

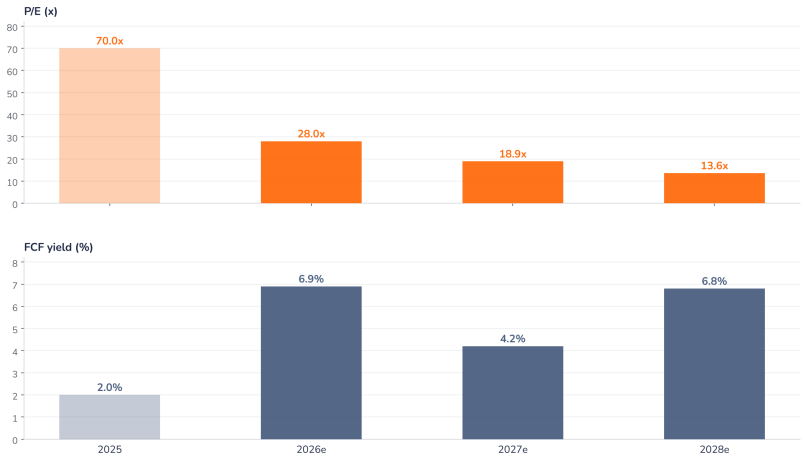


The backlog stands at 5.8x FY26 sales guidance of €13.7–14.2bn, with the firm share up to 70% from 58% a year earlier. Its value lies in conversion, not intake. The 2030 target of ~€50bn sales at a margin above 20% implies ~30% annual growth with a backloaded 2028–29 profile. Q2 shows the leverage is real (sales +69% to €3.29bn, operating result +115% to €562m), but mass production leaves no room for single-component bottlenecks that stall platforms and trap cash.

De-rated, but the multiples assume delivery

Chart 2 · Valuation – P/E and FCF Yield on Consensus

Consensus, current scope · 2025 actual and 2026e–2028e

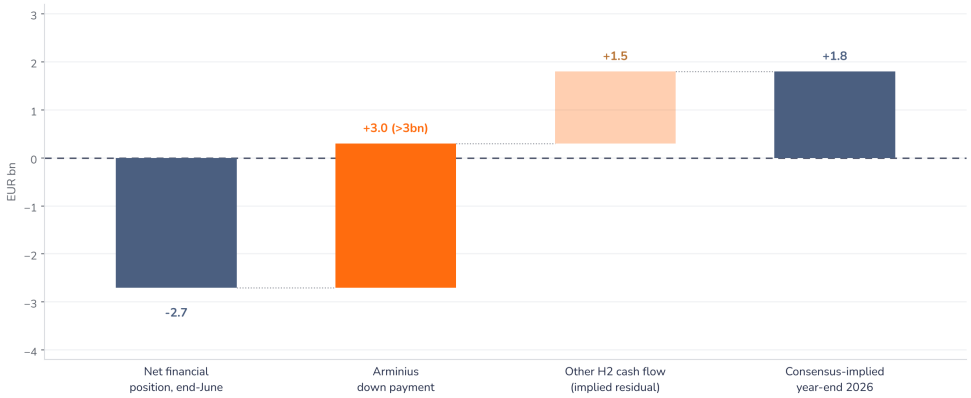


On the surface the multiples look undemanding: P/E falls to 13.6x by 2028e, EV/EBITDA to 6.7x and the PEG is 0.5x. But this rests on consensus EPS growth of ~45–50% in 2027 and ~40% in 2028, which is precisely the execution bet. Free cash flow is the weak link: the 6.9% FCF yield for 2026e implies ~€3bn of FCF, broadly the size of a single expected Arminius down payment.

Arminius decides the FY26 cash print

Chart 3 · Net Financial Position – FY26 Bridge to Consensus

EUR bn · year-end implied by consensus EV below market cap · down payment at €3.0bn floor; residual derived



H1 operating free cash flow was –€1.6bn, driven by inventory build and delayed down payments, leaving an equity ratio of 28% and a net financial position of –€2.7bn at end-June. Consensus EV below market cap implies ~€1.8bn of net cash by year-end. Closing that gap requires the Arminius down payment of more than €3bn plus a further ~€1.5bn of H2 inflow as inventory unwinds. Arminius is Germany's large Boxer wheeled armoured vehicle programme: an initial package of ~€25bn, split 50/50 with KNDS Deutschland via the Artec JV, worth ~€14.4–14.5bn to Rheinmetall (€12.4bn vehicles, ~€2bn services); follow-on phases remain unfunded. The Bundestag vote is expected on 9 December, with signing 5–10 days later. A slip into January would leave FY26 FCF sharply below consensus with no change to the underlying business, and would dent backlog optics against management's €100–120bn year-end target.

Peace is the risk the multiples cannot absorb

The re-rating of European defence has been driven by both budget commitments and urgency. Budgets would likely survive a ceasefire, as NATO spending targets are structural; urgency and multiples would not, and a credible peace process would likely trigger a sharp sector de-rating regardless of fundamentals. Weapon & Ammunition, the highest-margin segment at 25.8% in Q2, is the most exposed to a normalisation of consumption-driven demand. Beyond geopolitics, procurement timing is a live risk —the F126 frigate cancellation already forced a cut to FY26 sales guidance—as is concentration on Germany, a monopsony buyer whose pricing power should grow. Low-cost drones and software-native strike systems could partly displace heavy land platforms over time, and JV structures (Artec, Leonardo) dilute consolidated revenue and net income. Against this, in-house nitrocellulose and propellants and a sovereign production footprint in frontline NATO states remain genuine moats.

Catalysts: cash first, backlog second

Q3 results on 5 November are the first test of the operating cash flow trajectory and the inventory unwind. The Arminius vote on 9 December, and above all the timing of the down payment, is decisive for FY26 FCF versus consensus. We also watch the year-end backlog against the €100bn mark and the capex update for 2027–28, after 2026 guidance was cut from ~16% to 8–9% of sales. Concrete progress towards a ceasefire in Ukraine is the primary downside risk for the sector; a sharp geopolitical deterioration would likely support multiples.

BASE CASE & IMPLICATIONS

Rheinmetall offers unmatched exposure to European rearmament, and the de-rating has brought outer-year multiples below some peers such as Leonardo. At current levels, however, the case rests on delivery rather than demand: backlog conversion, Arminius cash timing and a backdrop that sustains urgency. Without conviction on both execution and a prolonged conflict, we see the risk/reward as less compelling.

SYZ Source: Syz Research, Bloomberg

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